of "customer" provided in § 1.3, which includes complexities deriving from the CEA that are not necessary or appropriate to adapt into a rule that applies to SBSEFs.[393] The Commission proposed to define "customer" in Rule 819(j)(3)(i) as a person that utilizes an agent in connection with trading on an SBSEF.

The Commission received no comments on Proposed Rule 819(j) and is adopting Rule 819(j) as proposed, with minor technical modifications,[394] for the reasons stated in the Proposing Release.

11. Rule 819(k) – Designation of Agent for Non-U.S. Member

Paragraph (k) of Proposed Rule 819 would require non-U.S. persons who trade on an SBSEF to have an agent for service of process, which could be an agent of its own choosing or, by default, the SBSEF. Proposed Rule 819(k) is modeled on § 15.05(i) of the CFTC's rules, which concerns the designation of agents for foreign persons participating on "reporting markets," a category in the CFTC's rules that includes SEFs.[395]

Paragraph (k)(1) of Proposed Rule 819 is modeled on § 15.05(i) and would provide that an SBSEF that admits a non-U.S. person as a member shall be deemed to be the agent of the "non-U.S. member"[396] with respect to any SBS executed by the non-U.S. member. Under

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393 The definitions of "customer" and "final disciplinary action" would apply only within Proposed Rule 819(j), so the Commission has not included them in the omnibus definitions rule for proposed Regulation SE (Proposed Rule 802).

394 *See supra* note 32.

395 A "reporting market" is defined in § 15.00(q) to mean a DCM or registered entity under section 1a(40) of the CEA. The term "registered entity" as defined in section 1a(40) of the CEA includes SEFs, among other entities.

396 "Non-U.S. member" is a defined term in Rule 819(k) that does not appear in § 15.05 of the CFTC's rules but which appropriately conveys the meaning of the CFTC rule for purposes of SBSEFs in Proposed Rule 819(k). A foreign trader that executes contracts on a trading platform such as an SBSEF must be a member of that platform. Therefore, to promote uniformity throughout Regulation SE, the Commission is using the term "member" for this concept. Furthermore, the Commission has defined the term "U.S. person" for purposes of the cross-border application of its Title VII rules, *see* Rule 3a71-3(a)(4), § 240.3a71-3(a)(4),

Proposed Rule 819(k)(1), service or delivery of any communication issued by or on behalf of the Commission to the SBSEF would constitute valid and effective service upon the non-U.S. member. If an SBSEF is served with a communication issued by or on behalf of the Commission to a non-U.S. member, the SBSEF would be required to transmit the communication to the non-U.S. member. Paragraph (k)(2) of Proposed Rule 819 is modeled on § 15.05(i)(1) and would provide that it shall be unlawful for an SBSEF to permit a non-U.S. member to execute SBS transactions on the facility unless the SBSEF informs the non-U.S. member in writing of the requirements of Rule 819(k).

Paragraph (k)(3) of Proposed Rule 819 is modeled on § 15.05(i)(2) and would permit a non-U.S. member of an SBSEF to utilize an agent for service of process other than the SBSEF. The non-U.S. member would have to provide a copy of its agreement with the alternate agent to the SBSEF, and the SBSEF would then have to file the agreement with the Commission, before executing any transaction on the SBSEF. Paragraph (k)(4) of Proposed Rule 819, modeled on § 15.05(i)(3), would require the non-U.S. member to notify the Commission if the agency agreement is no longer in effect.

For an SBSEF to have an effective regulatory program and thereby comply with Core Principle 2 (Compliance with Rules), the SBSEF must have jurisdiction over all of its members, including members who are not U.S. persons. Proposed Rule 819(k) would further an SBSEF's ability to ensure compliance by its non-U.S. members with its rules by requiring each non-U.S. member of the SBSEF to have an agent for service of process, whether an agent of its own choosing that has been disclosed to the SBSEF and the Commission or, as a default, the SBSEF

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and has thus defined "non-U.S. member" in Rule 802 as "a member of a security-based swap execution facility that is not a U.S. person."

itself. This would eliminate any question of how to provide valid notice to a non-U.S. member of any proceedings involving potential rule violations.

The Commission received no comments on Proposed Rule 819(k) and is adopting Rule 819(k) as proposed for the reasons stated in the Proposing Release.

C. Rule 820—Core Principle 3—SBS Not Readily Susceptible to Manipulation

Core Principle 3[397] provides that an SBSEF may permit trading only in SBS that are not readily susceptible to manipulation. CEA Core Principle 3 for SEFs is substantively identical.[398] Proposed Rule 820 is modeled after § 37.300 of the CFTC's rules and would implement Core Principle 3.

The Commission received no comments on Proposed Rule 820, and is adopting Rule 820 as proposed for the reasons stated in the Proposing Release.

D. Rule 821—Core Principle 4—Monitoring of Trading and Trade Processing

Core Principle 4[399] requires an SBSEF to establish and enforce rules or terms and conditions defining or specifications detailing: (1) trading procedures to be used in entering and executing orders traded on or through the facilities of the SBSEF; and (2) procedures for trade processing of SBS on or through the facilities of the SBSEF. Core Principle 4 also requires an SBSEF to monitor trading in SBS to prevent manipulation, price distortion, and disruptions of the delivery or cash settlement process through surveillance, compliance, and disciplinary practices and procedures, including methods for conducting real-time monitoring of trading and

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397 Section 3D(d)(3) of the SEA, 15 U.S.C. 78c-4(d)(3).

398 *See* Section 5h(f)(3) of the CEA, 7 U.S.C. 7b-3(f)(3).

399 Section 3D(d)(4) of the SEA, 15 U.S.C. 78c-4(d)(4).

comprehensive and accurate trade reconstructions. CEA Core Principle 4 for SEFs[400] is substantively identical.

Proposed Rule 821 would implement Core Principle 4 and is closely modeled on the rules in subpart E of part 37 and the CFTC's guidance and acceptable practices in appendix B to part 37. As explained in the Proposing Release, paragraph (a) of Proposed Rule 821, like § 37.400 of the CFTC's rules, incorporates the requirements of Core Principle 4 described above, and the remaining paragraphs of Proposed Rule 821 are modeled on §§ 37.401 to 37.408 of the CFTC's rules and also incorporate guidance and acceptable practices from appendix B to part 37.[401]

Paragraph (b) of Proposed Rule 821 would specify an SBSEF's market-oversight obligations. Paragraph (c) of Proposed Rule 821 would specify requirements for an SBSEF's monitoring of physical-delivery SBS. Paragraph (d) of Proposed Rule 821 would specify additional requirements for cash-settled SBS. Paragraph (e) of Proposed Rule 821 would specify requirements for an SBSEF's ability to obtain information. Paragraph (f) of Proposed Rule 821 would require an SBSEF to establish and maintain risk control mechanisms to prevent and reduce the potential risk of market disruptions. Paragraph (g) of Proposed Rule 821 would require an SBSEF to have the ability to comprehensively and accurately reconstruct all trading on its facility and requires an SBSEF to make all audit-trail data and reconstructions available to the Commission. And paragraph (h) of Proposed Rule 821 would provide that an SBSEF shall comply with the rules in this section through a dedicated regulatory department or by contracting with a regulatory service provider pursuant to Rule 819(e).

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400 Section 5h(f)(4) of the CEA, 7 U.S.C. 7b-3(f)(4).

401 *See* Proposing Release, *supra* note 1, 87 FR at 28910–11.

The Commission received no comments on Proposed Rule 821 and is adopting Rule 821 as proposed for the reasons stated in the Proposing Release.

E. Rule 822—Core Principle 5—Ability to Obtain Information

Core Principle 5[402] requires an SBSEF to establish and enforce rules that will allow the SBSEF to obtain any necessary information to perform any of the functions described in the Core Principles, provide the information to the Commission on request, and have the capacity to carry out such international information-sharing agreements as the Commission may require. CEA Core Principle 5 for SEFs[403] is substantively identical.

Proposed Rule 822 implements Core Principle 5 and is substantively identical to subpart F of part 37. Paragraph (a) of Proposed Rule 822 would repeat the statutory text of Core Principle 5. Paragraph (b), modeled on § 37.501, would require that an SBSEF establish and enforce rules that will allow the SBSEF to have the ability and authority to obtain sufficient information to allow it to fully perform its operational, risk management, governance, and regulatory functions and any requirements under Regulation SE. Paragraph (c), like § 37.502, would require an SBSEF to have rules that allow it to collect information on a routine basis, allow for the collection of non-routine data from its members, and allow for its examination of books and records kept by members on its facility.[404] Paragraph (d), like § 37.503, would require that an SBSEF provide information in its possession to the Commission upon request, in a form and manner specified by the Commission. Finally, paragraph (e), like § 37.504, would require an SBSEF to share information with other regulatory organizations, data repositories, and third-

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402 Section 3D(d)(5) of the SEA, 15 U.S.C. 78c-4(d)(5).

403 Section 5h(f)(5) of the CEA, 7 U.S.C. 7b-3(f)(5).

404 While § 37.502 of subpart F uses the term "market participant," Proposed Rule 822 would substitute the term "member" in these places, since the rule pertains to market participants who are acting as members of the SEF/SBSEF. *See supra* note 362.

party data reporting services as required by the Commission or as otherwise necessary and appropriate to fulfill its regulatory and reporting responsibilities, and that appropriate information-sharing agreements can be established with such entities, or the Commission can act in conjunction with the SBSEF to carry out such information sharing.

The Commission received no comments on Proposed Rule 822 and is adopting Rule 822 as proposed for the reasons stated in the Proposing Release.

F. Rule 823—Core Principle 6—Financial Integrity of Transactions

Core Principle 6 sets forth requirements related to the financial integrity of transactions that are entered on or through the facilities of an SBSEF.[405] Specifically, paragraph (a) of Proposed Rule 823 would require an SBSEF to establish and enforce rules and procedures for ensuring the financial integrity of SBS entered on or through the facilities of the SBSEF, including the clearance and settlement of SBS pursuant to section 3C(a)(1) of the SEA.[406] Paragraph (b) would provide that transactions required to be cleared or voluntarily cleared must be cleared through a registered clearing agency (or an exempt clearing agency). Paragraph (c) addresses the manner in which an SBSEF shall provide for the financial integrity of transactions. Finally, paragraph (d) would require an SBSEF to monitor its members to ensure that they continue to qualify as eligible contract participants. As described in the Proposing Release, the Commission modeled Rule 823 on subpart H of part 37 of the CFTC's rules,[407] which implements CEA Core Principle 7 for SEFs.[408]

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405 Section 3D(d)(6)(A) of the SEA, 15 U.S.C. 78c-4(d)(6).

406 15 U.S.C. 78c-3(a)(1). *See supra* note 168 and accompanying text (discussing mandatory clearing provisions).

407 *See* Proposing Release, *supra* note 1, 87 FR at 28912.

408 Section 5h(f)(7) of the CEA, 7 U.S.C. 7b-3(f)(7).

1. Rule 823(a) – General

Paragraph (a) of Proposed Rule 823 would repeat the statutory text of SEA Core Principle 6 in the same manner that § 37.700 of the CFTC's rules[409] repeats the statutory language of CEA Core Principle 7 for SEFs.[410] Proposed Rule 823(a) would require an SBSEF to establish and enforce rules and procedures for ensuring the financial integrity of SBS entered on or through the facilities of the SBSEF, including the clearance and settlement of SBS pursuant to section 3C(a)(1) of the SEA.[411] The Commission did not receive any comments on Proposed Rule 823(a) and is adopting Rule 823(a) as proposed for the reasons stated in the Proposing Release.

2. Rule 823(b) – Required Clearing

Paragraph (b) of Proposed Rule 823 is closely modeled on § 37.701 of the CFTC's rules,[412] and it would provide that transactions executed on or through an SBSEF that are required to be cleared under section 3C(a)(1) of the SEA or are voluntarily cleared by the counterparties shall be cleared through a registered clearing agency or a clearing agency that has obtained an exemption from clearing agency registration to provide central counterparty services for SBS. The Commission did not receive any comments on Proposed Rule 823(b) and is adopting Rule 823(b) as proposed for the reasons stated in the Proposing Release.

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409 17 CFR 37.700; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28912.

410 Section 5h(f)(7) of the CEA, 7 U.S.C. 7b-3(f)(7).

411 15 U.S.C. 78c-3(a)(1).

412 17 CFR 37.701; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28912.

3. Rule 823(c) – General Financial Integrity

Paragraph (c) of Proposed Rule 823 is closely modeled on § 37.702 of the CFTC's rules,[413] and would require an SBSEF to provide for the financial integrity of transactions by establishing minimum financial standards for its members, which shall at a minimum require members to be ECPs. Proposed Rule 823(c) would further require an SBSEF to provide for the financial integrity of transactions by ensuring that the SBSEF, for transactions cleared by a registered clearing agency, has the capacity to route transactions to the registered clearing agency in a manner acceptable to the clearing agency, and by coordinating with each registered clearing agency to which it submits transactions for clearing in the development of rules and procedures to facilitate prompt and efficient transaction processing.

One commenter characterizes the CFTC regime as providing detailed straight-through-processing ("STP") standards for swaps executed on SEFs that are intended to be cleared but believes that the Commission's proposal lacks such standards.[414] The commenter observes that there is a lack of market consistency regarding the execution-to-clearing workflow for SBS that are intended to be cleared, which complicates the trading of cleared SBS. The commenter highlights "clearing submission timeframes" and "clearing certainty" as key issues and discusses the manner in which the CFTC has addressed these issues in its rules and guidance. The commenter states that the CFTC's STP standards, including "pre-execution credit checks" and "well-defined submission timeframes," have been successfully implemented by the industry since 2013, enhancing the SEF trading environment. The commenter argues that the timeframes minimize delays between execution and clearing acceptance and increase pre-trade clearing

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413 17 CFR 37.702; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28912.

414 *See* Citadel Letter, *supra* note 18, at 4–6.

certainty, decreasing market, credit, and operational risks for market participants and clearing agencies, and broadens the range of trading counterparties. For these reasons, the commenter recommends harmonizing with the CFTC by establishing STP standards, incorporating relevant CFTC guidance, and prohibiting breakage agreements for SBS that are intended to be cleared.[415]

Another commenter agrees that applying the CFTC's approach to STP would further harmonize SBSEFs with SEFs and would provide greater certainty of execution and clearing, encourage more clearing, facilitate electronic trading, and promote accessible, competitive markets and access to best execution.[416] Lastly, a third commenter supports harmonization and encourages the Commission to both codify the guidance in appendix B to part 37 of the CFTC regulations and the CFTC's staff guidance regarding STP.[417] The commenter believes that the STP requirements have been successfully implemented by market participants for nearly a decade, and modifying them now would introduce significant market, operational, and credit risk, along with additional complexity and cost for market participants.[418]

As previously stated, harmonization with the CFTC regime for SEFs is an important consideration for the Commission, given that it expects most registered SBSEFs to also be registered SEFs. Consistent with this view, Proposed Rule 823 is largely based on subpart H of part 37, and the key language of Rule 823(c)(2) relevant to STP is substantively identical to § 37.702(b). Both provisions require an SBSEF or SEF to (i) ensure that it has the capacity to route transactions to the relevant clearing agency in a manner acceptable to the clearing agency for purposes of clearing; and (ii) coordinate with each relevant clearing agency to which it

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415 *See id.*

416 *See* MFA Letter, *supra* note 18, at 12.

417 *See* SIFMA AMG Letter, *supra* note 18, at 9.

418 *See id.*

submits transactions for clearing, in the development of rules and procedures to facilitate prompt and efficient transaction processing. Rule 249.1701, Exhibit T further requires SBSEFs to provide "the name(s) of the clearing agency(ies) that will clear the Applicant's trades, and a representation that clearing members of that organization will be guaranteeing such trades."[419]

The Commission generally expects an SBSEF's rules and procedures to demonstrate compliance with these requirements with respect to SBS that are intended to be cleared or that would become subject to a mandatory clearing requirement in the future. Since SBSEFs are required to establish rules and procedures for clearing in coordination with each relevant clearing agency to which it submits trades, SBSEFs should be able to route executed trades to relevant clearing agencies promptly, particularly if fully automated systems are used. Furthermore, if an SBSEF were to act to purposefully delay clearing submission in order to favor certain market participants over others, that type of action could be addressed under the impartial access requirements of Rule 819(c).[420] Lastly, as noted previously, the Commission is adopting Rule 815(g), which specifies that SBSEFs shall establish and enforce rules that provide that a security-based swap that is intended to be cleared at the time of the transaction, but is not accepted for clearing at a registered clearing agency, shall be void *ab initio.* Together, these provisions should help ensure that SBSEFs will process trades promptly and efficiently. These provisions are also consistent with the CFTC's staff guidance related to SEFs. The CFTC staff guidance also addressed regulatory requirements related to intermediaries and clearing organizations that are beyond the scope of this rulemaking.

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419 *See* Form SBSEF (Exhibits Instructions, Instruction No. 20, Exhibit T); *see also supra* note 84.

420 *See supra* section VI.B.3 (discussing the impartial access requirements of Proposed Rule 819(c)). For example, if an SBSEF purposefully delayed clearing submission of only certain market participants that the SBSEF favors, that would be contrary to the requirement of Proposed Rule 819(c) of providing impartial access to market services.